

Disadvantages of Hybrid Funds



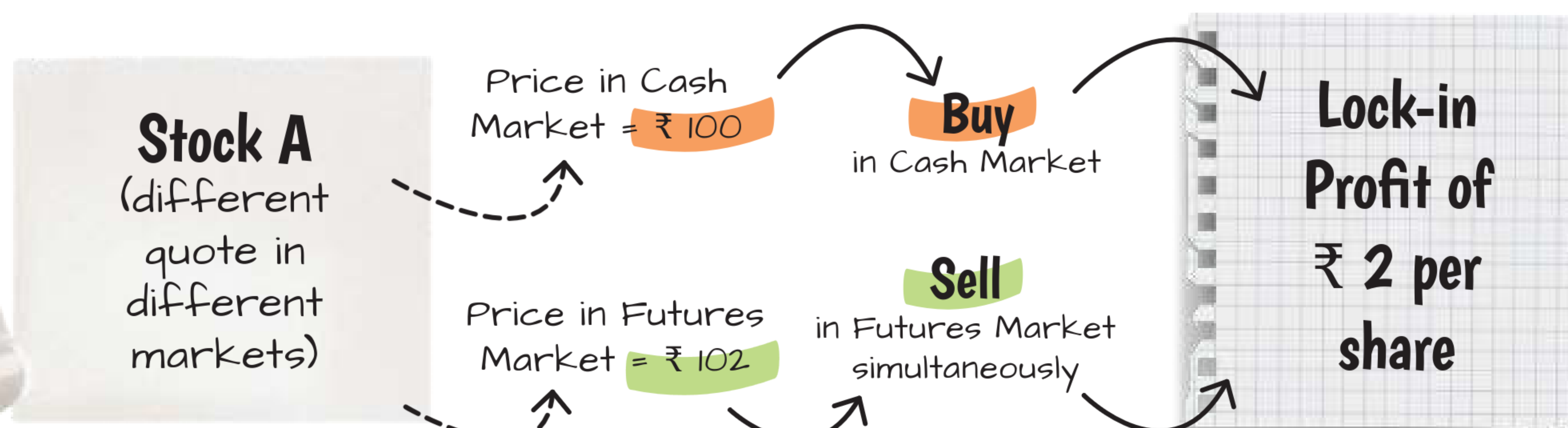
Hybrid Funds

▲ Higher Expense Ratio

▲ Higher Chances of underperformance

Hybrid funds usually have a **higher expense ratio** which might eat into the returns. Also, deciding which asset to invest in is a subjective decision and a wrong bet can also lead to underperformance. Let's move on to discussing different Hybrid Funds.

i. Arbitrage Funds:



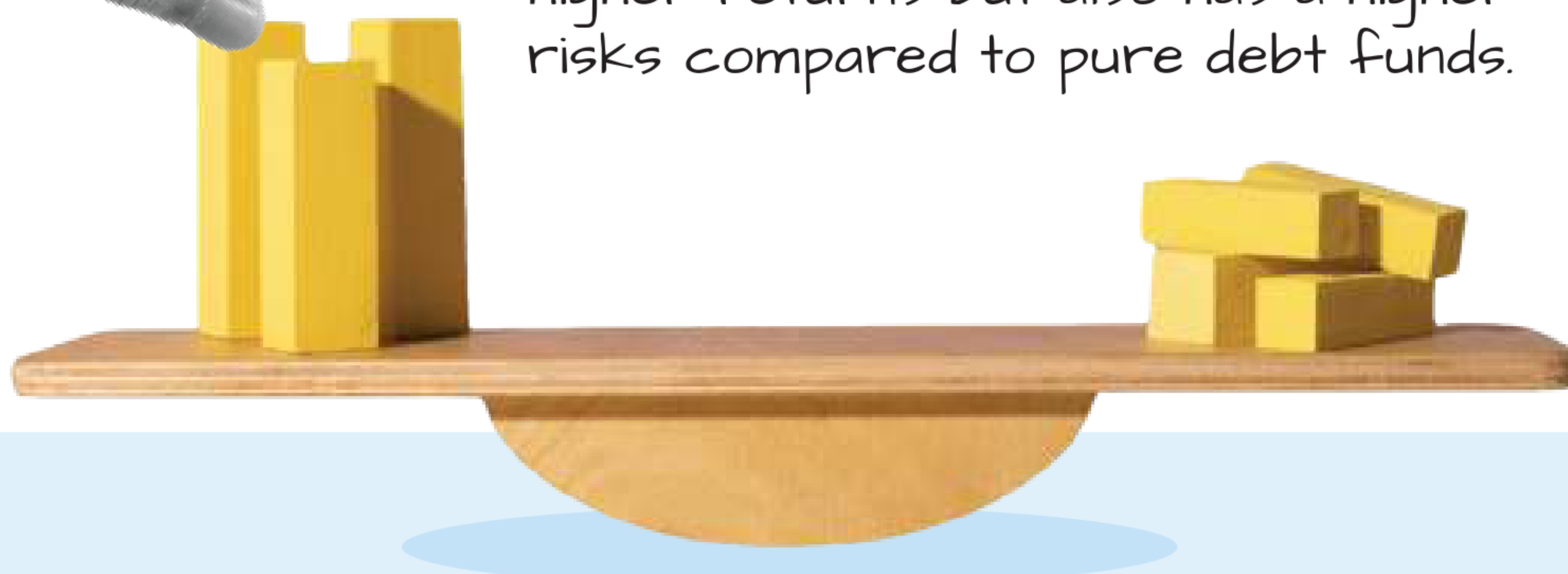
These funds take advantage of price gaps between cash and futures markets, providing steady returns similar to debt investments with low volatility. **They usually maintain a portfolio with 65% to 100% in stocks and up to 35% in debt to qualify for tax benefits.**

ii. Balanced Advantage Funds:

These dynamic funds can invest in either equity or debt in any proportion.

Fund Manager

The fund manager adjusts the allocation based on the market conditions, potentially resulting in higher returns but also has a higher risks compared to pure debt funds.



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